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Middle Market Deal Terms

Prepared for Overland Advantage

Proskauer Rose LLP

May 2025

Business Building.
Strategic Partnering.
Award Winning.
Precedent Setting.
Inherently Innovating.
Forward Thinking.
Reputation Enhancing.
Deal Closing.
Boundary Breaking.
Problem Solving.
Trusted Advising.
Data Mining.
Community Supporting.
Team Playing.
Progress Making.
Service Delivering.

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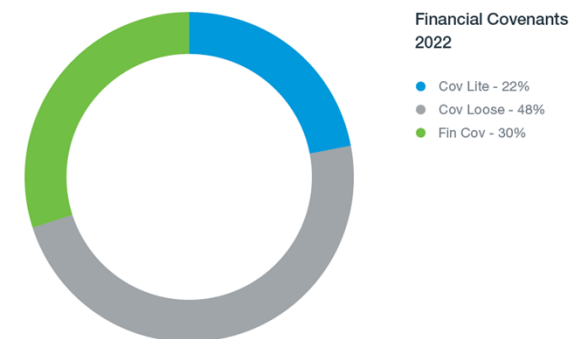
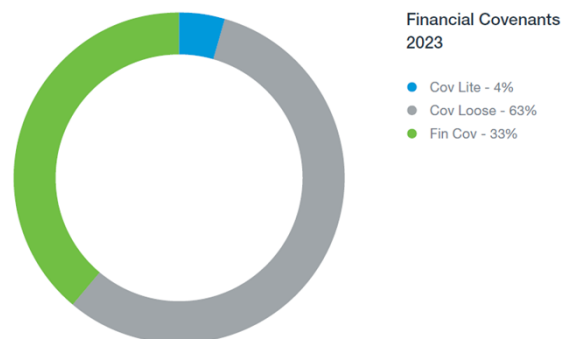
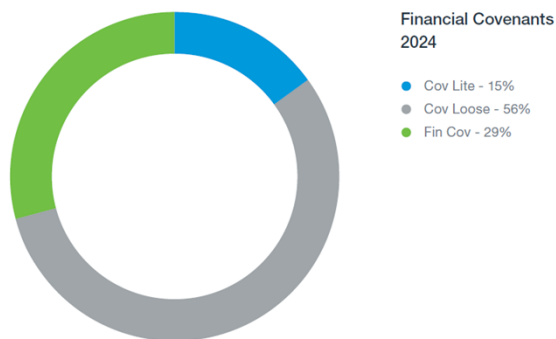
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1. Financial Covenant vs. Cov-Lite

Broadly Syndicated Market	Private Credit Upper Middle Market	Private Credit Middle Market	Private Credit Middle Market (Non-Sponsored)
- Springing first lien leverage covenant for RCF only, tested when a specified percentage (often 35-40%) of RCF commitments are drawn (and excluding an agreed amount of undrawn letters of credit and revolver draws for first four quarters post-closing). - Cash netting is uncapped.	- Cov-lite with terms that are similar to the syndicated market for larger and competitive deals. - Less competitive upper middle market deals often include a total leverage ratio covenant with no step-down or sometimes one or two step downs. Some deals with a financial covenant include a secured leverage test or a first lien leverage test instead of a total leverage ratio test. - Proskauer Private Credit Data: 38% of upper middle market deals (defined as deals with EBITDA of greater than \$50m) were cov-lite in 2024, compared to 10% in 2023 and 51% in 2022. - Most deals with a financial covenant are “covenant-loose” (defined as a deal with an opening covenant level that is set at a cushion of at least 40% to closing date leverage). - Cash netting is uncapped.	- Total net leverage ratio covenant that often includes at least one step-down. - Most deals with a financial covenant are “covenant-loose”. It is not common for deals to be cov-lite, but you will see this in very competitive transactions. - Cash netting is generally uncapped.	- Total net leverage ratio covenant that often includes step downs negotiated on a deal-by-deal basis. Not common to step down below closing date levels, especially in deals with ratio-based debt capacity. - Deals will generally be neither cov-lite nor covenant-loose. 30-35% cushion is more typical. - Other (less typical) Financial Covenants: - Fixed Charge Coverage Ratio (typically set 1.20-1.00:1.00) - Minimum Liquidity - Minimum EBITDA/Revenue - Cash netting is generally capped (e.g. 50-100% of EBITDA). May be limited to cash controlled by Agent (i.e., accounts subject to a DACA).

Financial Covenants

- 15% of deals had either no leverage-based financial maintenance covenant or a springing leverage-based financial covenant (i.e., covenant-lite) in 2024, compared to 4% in 2023 and 22% in 2022.



Financial Covenants



Financial Covenants 2024
(EBITDA \$15mm-\$29.9mm)

- Cov Lite - 0%
- Cov Loose - 66%
- Fin Cov - 34%



Financial Covenants 2023
(EBITDA \$15mm-\$29.9mm)

- Cov Lite - 0%
- Cov Loose - 76%
- Fin Cov - 24%



Financial Covenants 2022
(EBITDA \$15mm-\$29.9mm)

- Cov Lite - 3%
- Cov Loose - 62%
- Fin Cov - 34%



Financial Covenants 2024
(EBITDA \$30mm-\$49.9mm)

- Cov Lite - 13%
- Cov Loose - 59%
- Fin Cov - 28%



Financial Covenants 2023
(EBITDA \$30mm-\$49.9mm)

- Cov Lite - 0%
- Cov Loose - 64%
- Fin Cov - 36%



Financial Covenants 2022
(EBITDA \$30mm-\$49.9mm)

- Cov Lite - 11%
- Cov Loose - 60%
- Fin Cov - 29%



Financial Covenants 2024
(EBITDA ≥\$50mm)

- Cov Lite - 38%
- Cov Loose - 43%
- Fin Cov - 19%



Financial Covenants 2023
(EBITDA ≥\$50mm)

- Cov Lite - 10%
- Cov Loose - 54%
- Fin Cov - 36%



Financial Covenants 2022
(EBITDA ≥\$50mm)

- Cov Lite - 51%
- Cov Loose - 32%
- Fin Cov - 17%

2. Consolidated Adjusted EBITDA

Broadly Syndicated Market	Private Credit Upper Middle Market	Private Credit Middle Market	Private Credit Middle Market (Non-Sponsored)
EBITDA addbacks typically include: 1) Extraordinary, unusual and non-recurring items uncapped. 2) Restructuring charges, integration, opening and closing costs and similar items uncapped. 3) Cost savings/synergies for post-closing transactions subject to a cap of ~30-35% of EBITDA (but in large-cap deals, subject to no cap with flex to add a cap of 25-35%). 4) Cost savings/synergies may be subject to 24 to 36-month look-forward period (with flex to 12-18 months).	EBITDA addbacks typically include: 1) Extraordinary, unusual and non-recurring items uncapped. 2) Restructuring charges, integration, opening and closing costs and similar items are typically uncapped. 3) Cost savings/synergies for post-closing transactions subject to a cap of ~30-35% of EBITDA. 4) Cost savings/synergies may be subject to 18-24+ month look-forward period.	EBITDA addbacks typically include: 1) Extraordinary, unusual and non-recurring items are still usually uncapped, but in less competitive deals could be subject to a shared cap with #2 and #3 below (20-35%). 2) Restructuring and similar items often uncapped but sometimes subject to shared cap (20-35%). 3) Cost savings/synergies for post-closing transactions subject to shared cap (20-35%). 4) Cost savings/synergies subject to 12-24 month look-forward period (often 18 months).	EBITDA addbacks typically include: 1) Extraordinary, unusual and non-recurring items are often capped (10-35%, shared with #2 and #3 below), but in more competitive deals could be uncapped; "extraordinary" may be defined in accordance with GAAP prior to giving effect to the application of Accounting Standards Update No. 2015-01. 2) Restructuring and similar items are often not permitted; if permitted, subject to shared cap (10-35%). 3) Cost savings/synergies for post-closing transactions subject to shared cap (10-35%); may have "roll-off" structure. 4) Cost savings/synergies subject to 12-18 month look-forward period (often 12 months) *Shared cap is generally calculated "after" (vs. before) giving effect in all cases, other than certain non-Sponsored deals

2. Consolidated Adjusted EBITDA; Cont.

Broadly Syndicated Market	Private Credit Upper Middle Market	Private Credit Middle Market	Private Credit Middle Market (Non-Sponsored)
5) Cost savings/synergies can relate to actions already taken or actions reasonably expected to be taken and often include revenue enhancements. 6) Additional uncapped addbacks for items “of the type” contained in the Sponsor Model or the QofE for the transaction. Additional addbacks “of the type” set forth in any future QofE provided by a nationally recognized accounting firm or pursuant to Reg S-X. 7) If applicable, run-rate of increased pricing / revenue from new contracts or new business (flex to cap between 10%-30%).	5) Same as BSL but often excludes revenue enhancements. 6) Even highly competitive deals usually do not include “of the type” language. 7) If applicable, run-rate of increased pricing / revenue from new contracts or new business, subject to shared cap with cost savings/synergies (30-35%), a sub-cap within the shared cap or a standalone cap.	5) Same as Private Credit Upper Middle Market (in certain smaller deals, must be reasonably anticipated to be realizable within the look-forward period). 6) Lenders typically do not accept “of the type” language and items must be specifically identified in the Sponsor Model or the QofE. Additionally, to the extent the QofE identifies items that are otherwise subject to a cap, this is generally outside the cap. 7) Sometimes includes run-rate of increased pricing from new contracts or new business or amendments to existing contracts, subject to the shared cap, a sub-cap within the shared cap or a standalone cap, but typically only in larger and/or more competitive deals.	5) Cost savings/synergies can relate to actions already taken or actions reasonably expected to be taken but may require <u>actual</u> substantial steps to have been taken. Often required to be realizable within the look-forward period. No revenue enhancements. 6) Lenders do not accept “of the type” language. If a QofE identifies items that are otherwise subject to a cap, Lenders often seek to include those items in the aggregate shared cap. 7) Run-rate of increased pricing from new/amended contracts or other maturation addbacks generally not included outside of businesses where highly relevant. Caps are negotiated on a deal-by-deal basis.

3. PIK Interest and Synthetic PIK

Broadly Syndicated Market	Private Credit Upper Middle Market	Private Credit Middle Market	Private Credit Middle Market (Non-Sponsored)
• Very rare. Most institutional investors require cash interest and PIK interest can negatively impact trading in the secondary market.	• Lenders have shown greater interest in giving Borrowers the flexibility to PIK a portion of interest. • The maximum amount of interest that can be paid in kind often ranges from 100-200 bps, although some deals allow up to 50% or more of the margin to be paid in kind. • Sunset typically set at 2 years or less. • PIK premium of 25-50 bps. • There has been an increase in “synthetic PIK” as an alternative to traditional PIK interest. Synthetic PIK is structured as a delayed draw term loan (“DDTL”) that can be drawn to service interest payments, thereby effectively capitalizing the interest.	• PIK interest remains less common outside of workouts in which lenders agree to PIK interest to address liquidity concerns in exchange for lender-favorable amendments.	• Same as Private Credit Middle Market.

4. Incremental Facilities

Broadly Syndicated Market	Private Credit Upper Middle Market	Private Credit Middle Market	Private Credit Middle Market (Non-Sponsored)
<u>Free and Clear</u>: Fixed dollar amount set at 100% of EBITDA, with corresponding grower component (flex to 75%) <u>plus</u> the general debt basket (w/ flex to remove general debt basket).	<u>Free and Clear</u>: Fixed dollar amount set at 100% of EBITDA, with corresponding grower component <u>plus</u> the general debt basket in many deals.	<u>Free and Clear</u>: Same as upper middle market, but the general debt basket typically cannot be stacked on top of the incremental free and clear. Only smaller and less competitive deals would see less than 100% for the free and clear.	<u>Free and Clear</u>: Fixed dollar amount set up to 100% of EBITDA. Free and Clear may be 50% or 75% of EBITDA. Incremental Facilities may also be dollar capped and subject to a closing date total leverage ratio incurrence requirements. In the tightest deals, there may be no incremental capacity.

4. Incremental Facilities; Cont.

Broadly Syndicated Market	Private Credit Upper Middle Market	Private Credit Middle Market	Private Credit Middle Market (Non-Sponsored)
<u>Ratio Prong:</u> Compliance with specific leverage tests on a tranche-by-tranche basis: a. Pari Senior Secured Debt: First Lien Net Leverage Ratio set at closing date level (sometimes flex to 0.25x inside closing date). b. Junior Lien Debt: Secured Net Leverage Ratio set at closing date level or up to 0.50x outside closing date level (flex to closing date level). Some deals in the market have a 2.0x interest coverage test instead of leverage (with flex to remove). c. Unsecured Debt: Total Net Leverage Ratio set at closing date level or 0.50x-1.00x outside closing date level or 2.0x interest coverage test (with flex to remove interest coverage test). Will also include “no worse than” test for acquisitions and investments (with flex to remove), which allows incremental debt regardless of leverage as long as leverage is no worse after giving effect to the acquisition.	<u>Ratio Prong:</u> Compliance with specific leverage tests on a tranche-by-tranche basis: a. Pari Senior Secured Debt: First Lien Net Leverage Ratio set at closing date level. b. Junior Lien Debt: Secured Net Leverage Ratio set at closing date level or often up to 0.50x outside closing date level. c. Unsecured Debt: Total Net Leverage Ratio set at closing date level or often 0.50x-1.00x outside closing date level or, in some deals, 2.0x interest coverage test. May also include “no worse than” test for acquisitions and investments, <i>but typically only for junior lien and unsecured incremental debt.</i>	<u>Ratio Prong:</u> Compliance with specific leverage tests on a tranche-by-tranche basis: a. Pari Senior Secured Debt: First Lien/Senior Secured Net Leverage Ratio set at closing date level. b. Junior Lien Debt: Total/Secured Net Leverage Ratio set at closing date level or up to 0.25-0.50x outside closing date level. c. Unsecured Debt: Total Leverage Ratio set at closing date level or 0.50-1.00x outside closing date level. No “no worse than” tests.	<u>Ratio Prong:</u> Compliance with specific leverage tests on a tranche-by-tranche basis: a. Pari Senior Secured Debt: First Lien/Senior Secured Net Leverage Ratio set at closing date level. b. Junior Lien Debt: Total/Secured Net Leverage Ratio set at closing date level (or, less likely, up to 0.25-0.50x outside closing date level). c. Unsecured Debt: Total Leverage Ratio set at closing date level (or, less likely, up to 0.50-1.00x outside closing date level). No “no worse than” tests. In tighter deals, incremental facilities may (i) not have ratio-based capacity and/or (ii) be limited only to pari passu debt (and not junior lien or unsecured debt)

5. MFN

Broadly Syndicated Market	Private Credit Upper Middle Market	Private Credit Middle Market	Private Credit Middle Market (Non-Sponsored)
- Applies to incremental <i>pari</i> debt in the form of dollar-denominated, floating rate syndicated term loans (and not to incremental equivalent debt or ratio debt) . 75 bps cushion (with flex down to 50 bps). - MFN likely subject to 6-12 month sunset (with flex to remove or lengthen). - Carveouts include: 1) debt used to finance permitted acquisitions or investments, 2) debt maturing 12 months after the term loans (with flex to extend to 24 months), 3) incremental debt incurred pursuant to the free and clear or the voluntary prepayment builder, and 4) a basket set at 50-100% of EBITDA (with flex to remove all of these exceptions).	- In highly competitive deals, may apply only to <i>pari</i> dollar-denominated, floating rate incremental term loans (and not to <i>pari</i> incremental equivalent debt or ratio debt). But often will apply to all <i>pari</i> debt other than customary syndicated high yield notes, or at least all <i>pari</i> term loans. 50 bps cushion. - Typically no sunset, but often included in “mega-uni” deals. - Carveouts may include 1) debt maturing 12-24 months after the term loans and/or 2) a basket set at 50-100% of EBITDA.	- Applies to all <i>pari</i> debt in the form of loans and notes other than customary syndicated high yield notes. May be limited to dollar-denominated, floating rate debt. 50 bps cushion. - No sunset. - Typically no carveouts. Occasionally, there may be a carveout for debt that matures 12-24 months after the maturity of the initial credit facilities.	- Applies to all <i>pari</i> debt in the form of loans and notes (other than customary syndicated high yield notes). In tighter deals, incremental loans may have the same rate as the existing loans (no 50bps differential permitted). 50 bps cushion. - No sunset. - No carveouts.

6. Asset Sale Prepayments

Broadly Syndicated Market	Private Credit Upper Middle Market	Private Credit Middle Market	Private Credit Middle Market (Non-Sponsored)
100% of the proceeds from sales of <u>Collateral</u>, with leveraged-based step-downs to 50% and 0%. Retained asset sale proceeds build RP capacity (with flex to either increase deleveraging for step-downs or remove step-downs and to remove the builder concept). - Minimum dollar threshold with a grower. - Reinvestment period of 12-18 months and a minimum of an extra 180 days if a commitment to reinvest is made inside the initial reinvestment period. - Only triggered from asset sales using the unlimited 75% cash consideration basket.	100% with leveraged-based step-downs in some cases, but retained asset sale proceeds typically do not build RP capacity. Sometimes applies to proceeds from the sale of <u>any assets</u> rather than only from <u>Collateral</u>. - Minimum dollar threshold with a grower. - Reinvestment period of at least 365 days and a minimum of an extra 180 days if a commitment to reinvest is made inside the initial reinvestment period. - Usually only triggered from asset sales using the unlimited 75% cash consideration basket.	100% with no step-downs. Typically applies to proceeds from <u>all assets</u> rather than only from <u>Collateral</u>. - Minimum dollar threshold with a grower. - Reinvestment period of 365 days and an extra 180 days if a commitment to reinvest is made inside the initial reinvestment period. - In addition to the unlimited 75% cash consideration basket, sometimes includes sales of non-core assets, proceeds of sale-leaseback transactions and/or certain other baskets.	100% with no step-downs. Applies to proceeds from <u>all assets</u> rather than only from <u>Collateral</u>. - Minimum dollar threshold. Often no grower. - Reinvestment period of 90-180 days and an extra 90-120 days if a commitment to reinvest is made inside the initial reinvestment period. Reinvestment right may be subject to a no EoD blocker. - Will generally include any discretionary baskets (the unlimited 75% cash consideration basket, non-core asset sales, sale-leaseback transactions and any other general baskets).

7. Available Amount

Broadly Syndicated Market	Private Credit Upper Middle Market	Private Credit Middle Market	Private Credit Middle Market (Non-Sponsored)
1) <u>Components:</u> a. Starter Basket: Fixed dollar amount often equal to 25-50% of closing date EBITDA, with a corresponding grower component (with flex to reduce such amount). b. Builder Basket: At the election of the borrower, 100% of retained ECF or 50% of CNI. c. Other Components: Proceeds of equity sales and capital contributions; sales of the equity of and distributions from Unrestricted Subsidiaries; FMV of Unrestricted Subsidiaries redesignated as Restricted Subsidiaries; sales of and returns from certain investments; declined mandatory prepayment proceeds; retained asset sale proceeds; the principal amount or liquidation preference of debt or disqualified stock converted to equity.	1) <u>Components:</u> a. Starter Basket: Fixed dollar amount equal to 25-50% of closing date EBITDA, with a corresponding grower component. b. Builder Basket: May be based on either 100% of retained ECF or, in some deals, 50% of CNI. c. Other Components: Same as the BSL market, except retained asset sale proceeds typically do not increase the Available Amount.	1) <u>Components:</u> a. Starter Basket: Fixed dollar amount equal to 25%-50% of closing date EBITDA, with a corresponding grower component. b. Builder Basket: 100% of retained ECF. Rarely based on 50% of CNI. c. Other Components: Often same as syndicated, except retained asset sale proceeds do not increase the Available Amount.	1) <u>Components:</u> a. Starter Basket: Fixed dollar amount equal to 20%-35% of closing date EBITDA, with a corresponding grower component. In tighter deals, may be (i) dollar capped or (ii) eliminated. b. Builder Basket: 100% of retained ECF. Will not be based on 50% of CNI. c. Other Components: May be the same as Private Credit Middle Market. In tighter formulations, may be limited to: proceeds of equity sales and capital contributions not otherwise applied; returns on Investments made using the Available Amount; declined mandatory prepayment proceeds. In the tightest deals, Available Amount may be eliminated.

7. Available Amount; Cont.

Broadly Syndicated Market	Private Credit Upper Middle Market	Private Credit Middle Market	Private Credit Middle Market (Non-Sponsored)
2) <u>Tests for Usage:</u> a. Investments: None. b. Restricted Payments: EoD or payment/BK EoD blocker if using the Builder Basket. No leverage test (with flex to include leverage test) c. Junior Debt Payments: EoD or payment/BK EoD blocker if using the Builder Basket. No leverage test (with flex to include leverage test).	2) <u>Tests for Usage:</u> a. Investments: None or payment/BK EoD blocker if using the Builder Basket. No leverage test. b. Restricted Payments: EoD or payment/BK EoD blocker if using the Builder Basket. May be subject to 0.50x inside closing total leverage (sometimes first lien or secured leverage) if using the Builder Basket. c. Junior Debt Payments: EoD or payment/BK EoD blocker if using the Builder Basket. May be subject to 0.25-0.50x inside closing total leverage (sometimes first lien or secured leverage) if using the Builder Basket.	2) <u>Tests for Usage:</u> a. Investments: Payment/BK EoD blocker if using the Builder Basket. In some deals, may be subject to closing total leverage and may be subject to a full EoD blocker that applies to usage of any component of the Available Amount. b. Restricted Payments: If using the Builder Basket, subject to closing to 0.75x inside closing total leverage and EoD blocker. In some deals, leverage test and EoD blocker may apply to usage of any component of the Available Amount. c. Junior Debt Payments: If using the Builder Basket, subject to closing to 0.75x inside closing total leverage and EoD blocker. In some deals, leverage test and EoD blocker may apply to usage of any component of the Available Amount. Often set 0.25-0.50x outside RPs.	2) <u>Tests for Usage:</u> a. Investments: Consistent with the Private Credit Middle Market, but much more likely to be subject to closing total leverage. Most typical for leverage test and EoD blocker to apply to usage of any component of the Available Amount. a. Restricted Payments: Consistent with the Private Credit Middle Market, but leverage may be tighter (e.g., up to 1.00x). Most typical for leverage test and EoD blocker to apply to usage of any component of the Available Amount. a. Junior Debt Payments: Consistent with the Private Credit Middle Market, but leverage may be tighter (e.g., up to 1.00x). Most typical for leverage test and EoD blocker to apply to usage of any component of the Available Amount.

8. Ratio Baskets

Broadly Syndicated Market	Private Credit Upper Middle Market	Private Credit Middle Market	Private Credit Middle Market (Non-Sponsored)
Investments: Subject to closing total or first lien leverage, or up to 0.50x outside the closing level Restricted Payments: Subject to closing total or first lien leverage and a payment/BK EoD blocker Junior Debt Payments: Subject to closing total or first lien leverage and a payment/BK EoD blocker	Investments: Subject to closing total leverage and a payment/BK EoD blocker Restricted Payments: Subject to 0.25-0.50x inside closing total leverage and a payment/BK EoD blocker Junior Debt Payments: Subject to 0.25-0.50x inside closing total leverage and a payment/BK EoD blocker. Often set 0.25-0.50x outside RPs.	Investments: Subject to closing total leverage and a payment/BK EoD blocker or a no EoD blocker. Restricted Payments: Subject to 0.50-1.25x inside closing total leverage and EoD blocker. Junior Debt Payments: Subject to 0.50-1.25x inside closing total leverage a payment/BK EoD blocker or a no EoD blocker. Often set 0.25-0.50x outside RPs.	Investments: Subject to closing or up to 1.00x inside closing total leverage and a no EoD blocker. May include a sub-cap on Investments in non-Loan Parties. Restricted Payments: Subject to 1.00-1.50x inside closing total leverage and EoD blocker. May be unavailable in the tightest deals Junior Debt Payments: Subject to 1.00-1.50x inside closing total leverage and EoD blocker. May be unavailable in the tightest deals. Often set 0.25-0.50x outside RPs.

9. General Baskets

Broadly Syndicated Market	Private Credit Upper Middle Market	Private Credit Middle Market	Private Credit Middle Market (Non-Sponsored)
Investments: Set at 50%-100% of closing date EBITDA	Investments: Set at 35%-50% of closing date EBITDA	Investments: Set at 35%-40% of closing date EBITDA	Investments: Set at 15-35% of closing date EBITDA, with a corresponding grower component; may include a no EoD blocker and/or be dollar capped in the tightest deals.
Debt: Set at 50%-100% of closing date EBITDA	Debt: Set at 35%-50% of closing date EBITDA	Debt: Set at 35%-40% of closing date EBITDA	Debt: Set at 15-35% of closing date EBITDA, with a corresponding grower component; may include a no EoD blocker and/or be dollar capped in the tightest deals.
RPs and RDPs: Set at 20-50% of closing date EBITDA, with a corresponding grower component and a full EoD blocker or a payment/BK EoD blocker.	RPs and RDPs: Set at 20-50% of closing date EBITDA, with a corresponding grower component and a full EoD blocker or a payment/BK EoD blocker.	RPs and RDPs: Set at 15-35% of closing date EBITDA, with a corresponding grower component and a full EoD blocker.	RPs and RDPs: Set at 10-30% of closing date EBITDA, with a corresponding grower component and a full EoD blocker. May be dollar capped (no grower) or unavailable in the tightest deals.

10. Unrestricted Subsidiaries

Broadly Syndicated Market	Private Credit Upper Middle Market	Private Credit Middle Market	Private Credit Middle Market (Non-Sponsored)
- Investments in Unrestricted Subsidiaries capped at 20-35% of closing date EBITDA, with a corresponding grower component. - Separate baskets for investments in Unrestricted Subsidiaries, JVs, and foreign subsidiaries. - Conditions to designation of Unrestricted Subsidiaries will be limited to a no EoD blocker.	- Investments in Unrestricted Subsidiaries capped at 20-35% of closing date EBITDA, with a corresponding grower component. - Baskets for Unrestricted Subsidiaries and JVs may be subject to a shared cap. - Conditions to designation of Unrestricted Subsidiaries will be limited to a no EoD blocker.	- Investments in Unrestricted Subsidiaries capped at 10-35% of closing date EBITDA, with a corresponding grower component. - Baskets for Unrestricted Subsidiaries and JVs may be subject to a shared cap. Conditions to designation of Unrestricted Subsidiaries are often limited to a no EoD blocker but may include compliance with closing date leverage or the financial covenant level.	- Unrestricted Subsidiaries concept is often not included. - When included, Investments in Unrestricted Subsidiaries capped at 10-25% of closing date EBITDA, with a corresponding grower component - Baskets for Unrestricted Subsidiaries and JVs typically subject to a shared cap. - Conditions to designation of Unrestricted Subsidiaries will be fulsome (e.g., a no EoD blocker, compliance with closing date leverage or the financial covenant level, individual and aggregate cap in terms of asset and EBITDA contribution from Unrestricted Subsidiaries, limitations on designating subsidiaries existing on the closing date). Re-designation typically includes a no EoD blocker and compliance with closing date leverage or the financial covenant level.

11. Non-Loan Party Investments

Broadly Syndicated Market	Private Credit Upper Middle Market	Private Credit Middle Market	Private Credit Middle Market (Non-Sponsored)
- No cap on Investments in Non-Loan Parties (with flex to add a cap). - Non-Loan Party Permitted Acquisitions separately capped at 50-100%+ of closing date EBITDA, with a corresponding grower component. Often includes a carveout for acquisitions in which at least 75-80% of the EBITDA acquired will become Loan Parties or Collateral.	- Investments in Non-Loan Parties capped at 25-40%+ of closing date EBITDA, with a corresponding grower component. - Non-Loan Party Permitted Acquisitions separately capped at 25-50%+ of closing date EBITDA, with a corresponding grower component. May include a carveout for targets acquired which account for less than 15-20% of the EBITDA of all entities acquired.	Investments in Non-Loan Parties, often shared with Non-Loan Party Permitted Acquisitions, capped at 20-50% of closing date EBITDA, with a corresponding grower component.	Investments in Non-Loan Parties, often shared with Non-Loan Party Permitted Acquisitions (and potentially other baskets that would permit Investments in Non-Loan Parties), capped at 15-35% of closing date EBITDA, with a corresponding grower component.

12. Voting

Broadly Syndicated Market	Private Credit Upper Middle Market	Private Credit Middle Market	Private Credit Middle Market (Non-Sponsored)
<u>Required Lenders:</u> Lenders holding more than 50% of the loans and commitments.	<u>Required Lenders:</u> Lenders holding more than 50% of the loans and commitments. In some deals, if there are more than two unaffiliated Lenders, the Required Lenders must include at least two such unaffiliated Lenders.	<u>Required Lenders:</u> Lenders holding more than 50% of the loans and commitments, and if there are more than two unaffiliated Lenders, must include at least two such unaffiliated Lenders.	<u>Required Lenders:</u> consistent with Private Credit Middle Market.

13. Liability Management Transactions

	Broadly Syndicated Market	Private Credit Upper Middle Market	Private Credit Middle Market	Private Credit Middle Market (Non-Sponsored)
J. Crew	If anything, a weak version of <i>J. Crew</i> may be included (or permitted as flex).	- Almost all deals with have some form of <i>J. Crew</i> protection but the strength of the protection varies. <u>Typical Formulation</u>: No Restricted Subsidiary can transfer any material IP or exclusively license any material IP to an Unrestricted Subsidiary. Unrestricted Subs cannot hold any indebtedness or equity interests of the borrower or its restricted subs. - Often no restrictions on Unrestricted Subsidiaries owning IP that it develops, creates or acquires not in contravention of the Loan Documents.	- Almost all deals have <i>J. Crew</i> protection. <u>Typical Formulation</u>: Unrestricted Subsidiaries can <u>never</u> own or hold any material IP or any exclusive license in material IP. Unrestricted Subs cannot hold any indebtedness or equity interests of the borrower or its restricted subs.	- All deals have <i>J. Crew</i> protection (unless no Unrestricted Subsidiary capacity). <u>Typical Formulation</u>: Unrestricted Subsidiaries can <u>never</u> own or hold any material IP or any exclusive license in material IP. Unrestricted Subs cannot hold any indebtedness or equity interests of the borrower or its restricted subs.
Chewy	If anything, a weak version of <i>Chewy</i> may be included (or permitted as flex).	- Almost all deals with have some form of <i>Chewy</i> protection but the strength of the protection varies. <u>Typical Formulation</u>: A Subsidiary Guarantor can only be released if (a) it becomes non-wholly owned pursuant to a bona fide transaction with a non-Affiliate, (b) the primary purpose is not to evade the guarantee requirements and (c) the FMV of the subsidiary at the time is permitted as an investment. An EoD blocker is sometimes included.	- Almost all deals have <i>Chewy</i> protection. <u>Typical Formulation</u>: Similar to upper middle market but strongest form of protection often included.	- All deals have <i>Chewy</i> protection (to the extent applicable). The strongest form of protection will be included - Often not applicable, as (i) deal may include non-wholly owned guarantors or (ii) only permit release of non-wholly owned guarantors once they cease to be Subsidiaries.

13. Liability Management Transactions; Cont.

	Broadly Syndicated Market	Private Credit Upper Middle Market	Private Credit Middle Market	Private Credit Middle Market (Non-Sponsored)
Serta	If anything, a weak version of <i>Serta</i> may be included (or permitted as flex).	- Almost all deals with have some form of <i>Serta</i> protection but the strength of the protection varies. <u>Typical Formulation</u>: Consent of any directly and affected lender is required to <i>contractually</i> subordinate (1) the liens on the collateral or (2) the credit facilities in right of payment to any other debt, with carveouts for: a) Debt permitted to be senior to the credit facilities on the Closing Date (e.g., cap leases, ABL facilities); b) DIP facilities; and c) Debt that existing lenders are offered a bona fide opportunity to provide on the same terms.	- Almost all deals have <i>Serta</i> protection. <u>Typical Formulation</u>: Consent of any directly and adversely affected lender is required to subordinate (1) liens on <i>any</i> collateral or (2) any obligations in right of payment to any other debt, with similar carveouts as the upper middle market.	- All deals have <i>Serta</i> protection. <u>Typical Formulation</u>: Consent of any directly and adversely affected lender is required to subordinate (1) liens on <i>any</i> collateral or (2) any obligations in right of payment to any other debt, typically with no carveouts.
Envision	If anything, a weak version of <i>Envision</i> may be included (or permitted as flex).	- The vast majority of deals include <i>Envision</i> protection. <u>Typical Formulation</u>: Investments in Unrestricted Subsidiaries can only be made in reliance on the Unrestricted Subsidiaries investments basket and certain other capped baskets. Reclassification of baskets to increase investment capacity in Unrestricted Subsidiaries is prohibited.	- Almost all deals include <i>Envision</i> protection. <u>Typical Formulation</u>: Same as upper middle market but investments in Unrestricted Subsidiaries can only be made in reliance on the U/R Sub basket.	- All deals include <i>Envision</i> protection (unless no Unrestricted Subsidiary capacity). <u>Typical Formulation</u>: Same as upper middle market but investments in Unrestricted Subsidiaries can only be made in reliance on the U/R Sub basket. May also include an individual and aggregate cap on asset and EBITDA contribution from Unrestricted Subsidiaries.

13. Liability Management Transactions; Cont.

	Broadly Syndicated Market	Private Credit Upper Middle Market	Private Credit Middle Market	Private Credit Middle Market (Non-Sponsored)
Pluralsight	Rarely included	- Some deals do not have <i>Pluralsight</i> protection. <u>Typical Formulation</u>: No Loan Party can transfer any material IP or exclusively license any material IP to a Restricted Subsidiary that is not a Loan Party (with similar carveouts described under “J. Crew” above). - Alternatively, Loan Parties may be prohibited from transferring or exclusively licensing material IP to a non-Loan Party in connection with a debt incurrence by such non-Loan Party.	- Recent deals typically include <i>Pluralsight</i> protection. <u>Typical Formulation</u>: A Restricted Subsidiary that is not a Loan Party can <u>never</u> own or hold any material IP or any exclusive license in material IP.	- Recent deals typically include <i>Pluralsight</i> protection (may not be a concern in deals with restricted basket capacity). <u>Typical Formulation</u>: A Restricted Subsidiary that is not a Loan Party can <u>never</u> own or hold any material IP or any exclusive license in material IP. Protection may extend to other material asset classes.
At Home	Rarely included	- Most deals do not have <i>At Home</i> protection. <u>Typical Formulation</u>: Any Indebtedness of a Loan Party owing to a non-Loan Party shall be unsecured and subordinated to the Obligations pursuant to a subordination agreement reasonably satisfactory to the Administrative Agent. Alternatively, a weaker formulation provides that any debt of a Loan Party owing to a non-Loan Party incurred pursuant to the general debt basket or intercompany loan basket must be subordinated.	- Some deals do not have <i>At Home</i> protection. <u>Typical Formulation</u>: Same as upper middle market (without weaker formulation).	- Some deals do not have <i>At Home</i> protection (may not be a concern in deals with restricted debt incurrence capacity) <u>Typical Formulation</u>: Same as upper middle market (without weaker formulation).

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